

Prepared for:

CITY OF SAN MATEO



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2025

By:

URBAN FUTURES, INC.

Analytics & Compliance Group



Affected Issuance:

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

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INTRODUCTION

I. BACKGROUND

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014, the City of San Mateo (“City”) issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (“2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to: (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014A Bonds. Please see the Official Statement for the 2014A Bonds as provided online at the Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) document repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture for the 2014A Bonds.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Continuing Disclosure Annual Report (“Annual Report”) is being provided by the Dissemination Agent for distribution to the MSRB’s EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. (“UFI”) at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or UFI. The City and UFI make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or UFI, and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and UFI shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or UFI.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the fiscal year ended June 30, 2025 (“Annual Financial Statements”), are separately posted to the EMMA document repository.

II. PRINCIPAL OUTSTANDING AND ADDITIONAL INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise’s principal amounts outstanding, as of June 30, 2025, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds and Obligations Outstanding as of June 30, 2025	
Bond Issue/Obligation	Amount Outstanding as of June 30, 2025
2014A Sewer Revenue Bonds	\$ 24,380,000
2019 Wastewater Revenue Bonds (Financing Agreement)	236,180,000
2021A Wastewater Revenue Refunding Bonds	12,410,000
2021 WIFIA Loans	295,479,360
2022 SWRCB Loan Financing Agreement	79,404,594

Source: Urban Futures, Inc. and City of San Mateo.

For a detailed description of the Sewer Enterprise’s bonds and parity obligations, please see Section C of Note 7 to the Basic Financial Statements (“Long-Term Liabilities – Business-Type Activities”) in the Annual Financial Statements separately posted to the EMMA document repository.

III. RESERVE FUND

The table below presents the balance in the Sewer Enterprise Reserve Fund, as of June 30, 2025, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2025
2014A Sewer Revenue Bonds	No Reserve
2019 Wastewater Revenue Bonds (Financing Agreement)	No Reserve
2021A Wastewater Revenue Refunding Bonds	No Reserve
2021B Wastewater Revenue Notes (Financing Agreement)	No Reserve

Source: City of San Mateo.

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners' average flow and number of accounts during Fiscal Year 2025.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2025		
Subregional Partner	Average Daily Flow (mgd) ⁽¹⁾	Customer Accounts/ Parcels ⁽²⁾
San Mateo	11.3	28,502
Foster City	2.0	7,144
CSCSD	0.2	1,450
Belmont ⁽³⁾	-	-
Hillsborough	0.8	2,205
Unincorporated County ⁽³⁾	-	-
	14.3	39,301

(1) Represents Fiscal Year 2025 Average Daily Flow amounts for San Mateo, Foster City, CSCSD, Belmont, Hillsborough and Unincorporated County.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated County.

(3) Insignificant average daily flow.

Source: City of San Mateo.

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2025.

CITY OF SAN MATEO Sewer Enterprise Largest Users - Fiscal Year 2025				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Hillsdale Property San Mateo LP	39,696	1.71%	\$ 1,363,611	1.72%
HSC Property Owner LLC	131,512	5.66%	1,252,328	1.58%
Essex Portfolio LP	20,179	0.87%	782,271	0.99%
SMC Comm College Dist	22,904	0.99%	766,675	0.97%
ASN Bay Meadows I LLC & Bay Meadows II LLC	13,275	0.57%	672,457	0.85%
County of San Mateo	19,494	0.84%	653,284	0.82%
AIMCO Scotchollow Apartments LP	11,585	0.50%	513,758	0.65%
Spieker Richard TOD TR & Spieker Catherine Reilly TR	13,196	0.57%	495,527	0.62%
BRE Properties Inc`	12,586	0.54%	447,059	0.56%
TREA 3010 BridgePointe Parkway LLC	7,410	0.32%	404,097	0.51%
Largest Users Total	291,835	12.56%	\$ 7,351,067	9.27%
All Users Total	2,324,136	100.00%	\$ 79,326,467	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES & CHANGES IN FUND NET POSITION

For the total actual Revenues and Net Revenues generated by the Sewer Enterprise during the subject fiscal year, please see the "Statement of Revenues, Expenses and Changes in Net Position – Proprietary Funds – Sewer Fund" in Basic Financial Statements section of the Annual Financial Statements separately posted to the EMMA document repository.

VII. DEBT SERVICE COVERAGE

The table on the next page presents a five-year historical summary of the Sewer Enterprise's annual net revenues, expenses, and debt service coverage ratios.

City of San Mateo
Continuing Disclosure Annual Report for the Fiscal Year Ended June 30, 2025

CITY OF SAN MATEO
Sewer Enterprise
Historical Revenues, Expenses and Debt Service Coverage

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Revenues					
Service Charges	\$ 67,358,675	\$ 71,355,379	\$ 77,952,232	\$ 80,502,873	\$ 84,891,876
Connection Fees	603,615	135,740	35,445	830,521	-
Impact Fees	205,188	73,908	18,007	-	-
Other	1,375	98,330	403,854	848,548	1,210,069
Subtotal	\$ 68,168,853	\$ 71,663,357	\$ 78,409,538	\$ 82,181,942	\$ 86,101,945
Interest Income	851,242	(602,477)	7,176,108	9,342,754	13,100,425
Miscellaneous	1,375	-	-	-	-
Total Revenues	\$ 69,021,470	\$ 71,060,880	\$ 85,585,646	\$ 91,524,696	\$ 99,202,370
Expenses					
Personnel services				\$ 12,850,005	\$ 15,181,698
Materials and supplies				14,555,427	14,752,099
Cost of Sales and Services	\$ 21,032,300	\$ 21,071,196	\$ 21,228,059		
Administration	3,229,417	3,337,533	3,280,498		
Total Expenses	\$ 24,261,717	\$ 24,408,729	\$ 24,508,557	\$ 27,405,432	\$ 29,933,797
Net Revenues	\$ 44,759,753	\$ 46,652,151	\$ 61,077,089	\$ 64,119,264	\$ 69,268,573
Debt Service					
2011A Bonds	\$ 1,684,283	\$ -	\$ -	\$ -	\$ -
2014A Bonds	2,293,440	2,293,815	2,291,440	2,291,190	2,292,815
2019 Bonds (Financing Agreement)	10,947,250	10,947,250	10,947,250	10,947,250	10,947,250
2021 WIFIA Loan - WWTP ⁽¹⁾	-	-	-	-	2,660,793
2021 WIFIA Loan - Basins 2 & 3 ⁽¹⁾	-	-	-	-	1,068,862
2021A Bonds	-	371,204	1,195,700	1,239,300	1,237,050
2021B Notes (Financing Agreement) ⁽¹⁾	-	7,920,646	13,578,250	6,789,125	-
2022 SWRCB Loan (Financing Agreement) ⁽²⁾	-	-	-	-	-
Total Debt Service	\$ 14,924,973	\$ 21,532,915	\$ 28,012,640	\$ 21,266,865	\$ 18,206,770
Debt Service Coverage	3.00	2.17	2.18	3.01	3.80
Net Surplus	\$ 29,834,780	\$ 25,119,236	\$ 33,064,449	\$ 42,852,399	\$ 51,061,803

(1) On February 15, 2024, \$295,479,360 in funds were drawn pursuant to the 2021 WIFIA Loans. The WIFIA Loan funds were used: (i) to reimburse the District for expenditures related to the WWTP Project and the San Mateo Basins 2 and 3 Collection System Improvements Project; (ii) to defease to maturity the 2021B Notes issued by the Authority; and (iii) to establish a security deposit for payment obligations of the District to the 2021B Notes under the related Financing Agreement. The principal amount of the 2021 WIFIA Loan - WWTP is \$210,339,360. The principal amount of the 2021 WIFIA Loan - Basins 2 & 3 is \$85,140,000. Interest payments on the WIFIA Loans began August 1, 2024 and principal payments began August 1, 2025.

(2) As of June 30, 2025, the wastewater treatment plant projects funded by the 2022 SWRCB Loan (Financing Agreement) are still under construction and funds are still being drawn down. As of the end of Fiscal Year 2025, the amount drawn under the 2022 SWRCB Loan and allocated to the City of San Mateo is \$79,404,594. Amortized loan payments are scheduled to begin December 31, 2026.

Source: Urban Futures Inc., with information from the City of San Mateo, Annual Comprehensive Financial Report.

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2025, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2025, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on the MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>